

exceptional performance and drawdown characteristics. We also conducted an “apples to apples” comparison (results not tabulated) where we set the bond exposure to 40 percent on the DIY and Ivy 5 models. DIY outperforms the 60/40 portfolio on both a risk-adjusted basis and on a capital preservation basis, accentuating the benefit of adding security selection to an asset allocation model.

DIY Strategy Summary Statistics: Adding Risk Management

Here we examine the performance of our do-it-yourself (DIY) model infused with security selection benefits ([Chapter 8](#)) and a more robust risk management platform that exploits both simple moving averages and time-series momentum (referred to as ROBUST in [Chapter 7](#)). We generate results for the three permutations of the DIY solution presented in [Figure 9.3](#). In the analysis that follows, the definitions for each strategy are outlined:

- DIY_BAL_RM = 40% Equity (10% US Value, 10% US Momentum, 10% international Value, 10% international Momentum); 40% Real (20% commodities, 20% real estate); 20% Bonds. Risk-managed with ROBUST.
- DIY_MOD_RM = 60% Equity (15% US Value, 15% US momentum, 15% international Value, 15% international Momentum); 20% Real (10% commodities, 10% real estate); 20% Bonds. Risk-managed with ROBUST.
- DIY_AGG_RM = 80% Equity (20% US Value, 20% US momentum, 20% international Value, 20% international Momentum); 10% Real (5% commodities, 5% real estate); 10% Bonds. Risk-managed with ROBUST.
- IVY5_MA = 40% Equity (20% S&P 500, 20% EAFE); 40% Real (20% commodities, 20% real estate); 20% Bonds. Risk-Managed with a Moving Average rule.
- 60/40 = 60% Equity (S&P 500); 40% Bonds.

[Table 9.7](#) summarizes the performance statistics for the three versions of the DIY system, the Ivy 5 with moving average system, and the buy-and-hold